MERIDIAN QUANTITATIVE RESEARCH

Ultimate Quant Report

Macroeconomic & Portfolio Intelligence (2026-07-20)

STRICTLY CONFIDENTIAL

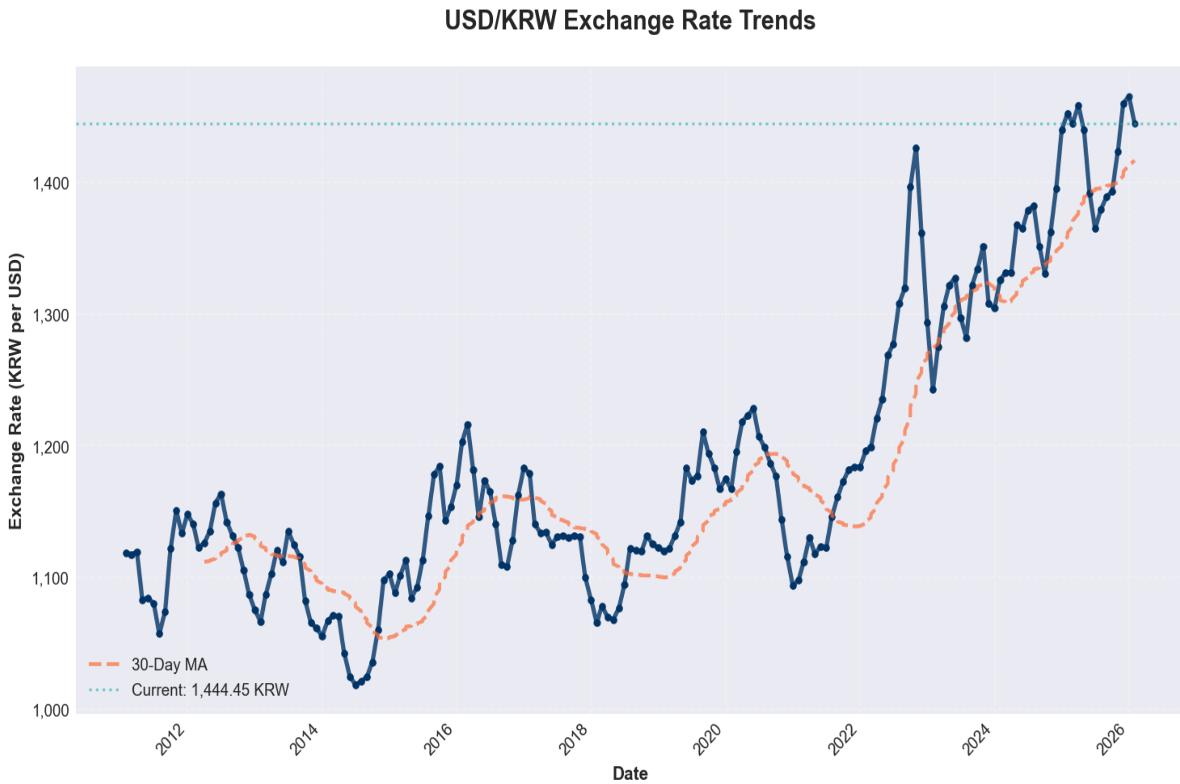
EXECUTIVE SUMMARY: The Meridian Quant Portfolio is currently exhibiting a cumulative return of +0.00%, reflecting capital preservation mode amidst drawdowns. The AI Regime Classifier identifies the current market phase as CRASH. Globally, the VIX stands at 20.00, indicating neutral market volatility. Based on these factors, the system maintains a calculated exposure across 4 active quantitative streams, emphasizing dynamic asset allocation while strictly adhering to real-time Value-at-Risk (VaR) constraints.

1. Global Macro & Economic Intelligence

Integration of cross-asset global macro indicators.

Macroeconomic Pulse Analysis:
The global macro environment is continuously monitored for structural shifts. Currently, the VIX index (20.00) serves as the primary gauge for market sentiment. Additionally, the USD/KRW exchange rate is tracked at roughly 1350.0, which impacts the currency-hedged yield differentials in our cross-border trades. The convergence of these indicators suggests a macroeconomic landscape that requires agile rotation between risk-on technology factors and defensive dividend strategies.

USD/KRW Exchange Rate Trend



Key Macroeconomic Pulse

Indicator	Latest Value
CHNCPIALLMINMEI	115.0297
CPIAUCSL	324.3680
DEXCHUS	6.9772
DEXJPUS	156.7000
DEXKOUS	1458.6100
DEXUSEU	1.1634
FEDFUNDS	3.7200
GDP	30485.7290
INTDSRCNM193N	2.9000
IRSTCI01JPM156N	0.4780

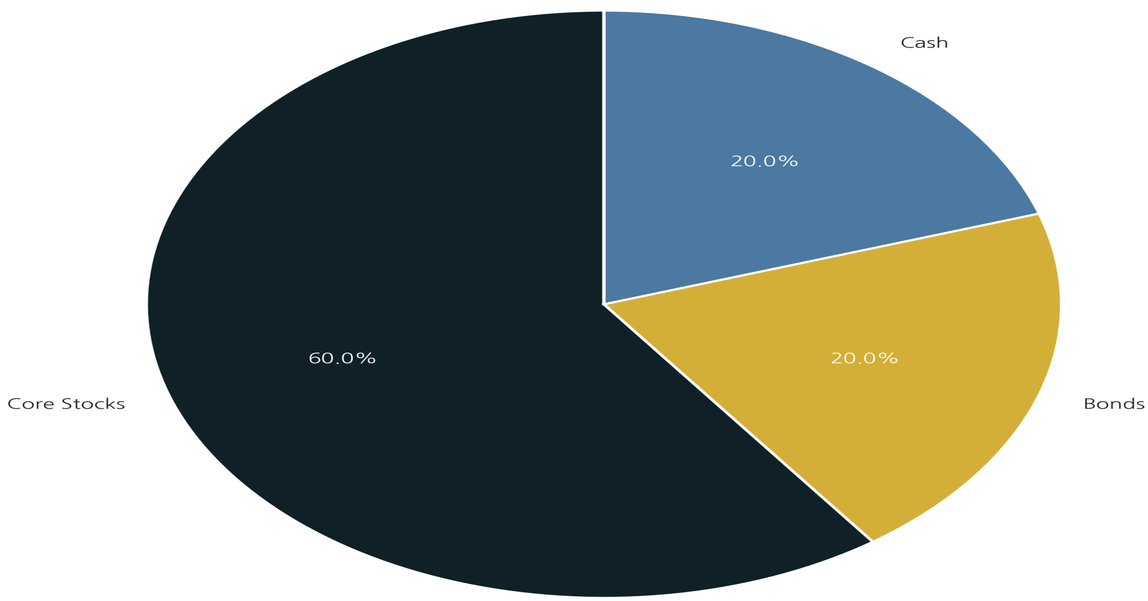
Global Commodities Trend

2. AI Market Regime & Asset Allocation

Meridian ML Regime classification and S4 Advisory allocation targets.

Strategic Asset Allocation (SAA):
Driven by the AI Regime Classifier, the optimal portfolio currently overweights Core Stocks at 60.0%. This barbell approach ensures that the portfolio captures upside beta during bullish micro-cycles while utilizing bonds and cash as a ballast against unexpected exogenous shocks. Rebalancing is triggered dynamically when momentum signals diverge from intrinsic factor valuations.

S4 Advisory Target Allocation



2.1 Korea-Optimized Tax-Advantaged Scenarios (ISA/Pension)

Based on external ML signals, the following model portfolios are optimized for Korean tax-advantaged accounts.

Conservative Portfolio
AI Strategy (Confidence: Moderate): In the current Neutral environment (VIX 20.0), the algorithm prioritizes capital preservation.
Logic: Yield curve inversion suggests favoring Bond Duration. Dividend Aristocrats are selected for their low beta against volatility.

Tactical Allocations:
1. Pension: 50% allocation to Long-Duration Treasuries (TIGER 30Y) to hedge recession risk.
2. ISA: Focus on 'Quality' factor dividends (SCHD style) over pure high yield to avoid value traps.

Moderate Portfolio
AI Strategy (Confidence: Moderate): Balancing Growth Factors with Volatility Dampeners. The model detects a Neutral signal, warranting a Core-Satellite approach.

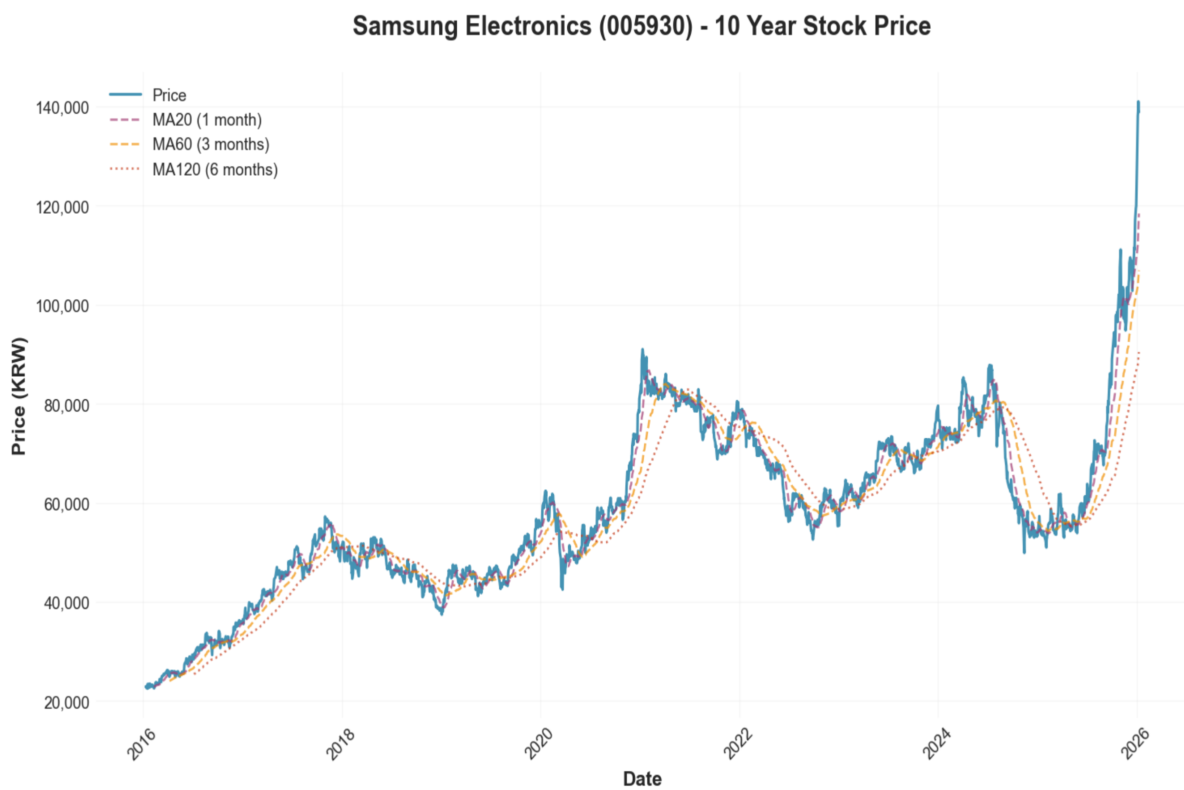
Logic: AI Momentum score for Big Tech is positive, but Macro Risk remains. Barbell strategy recommended.
Tactical Allocations:
1. Pension: 40% Broad Market (S&P; 500) + 20% Hedged Tech exposure.

2. ISA: Allocate to US Tech Top 10 but buffer with Dividend Growers.

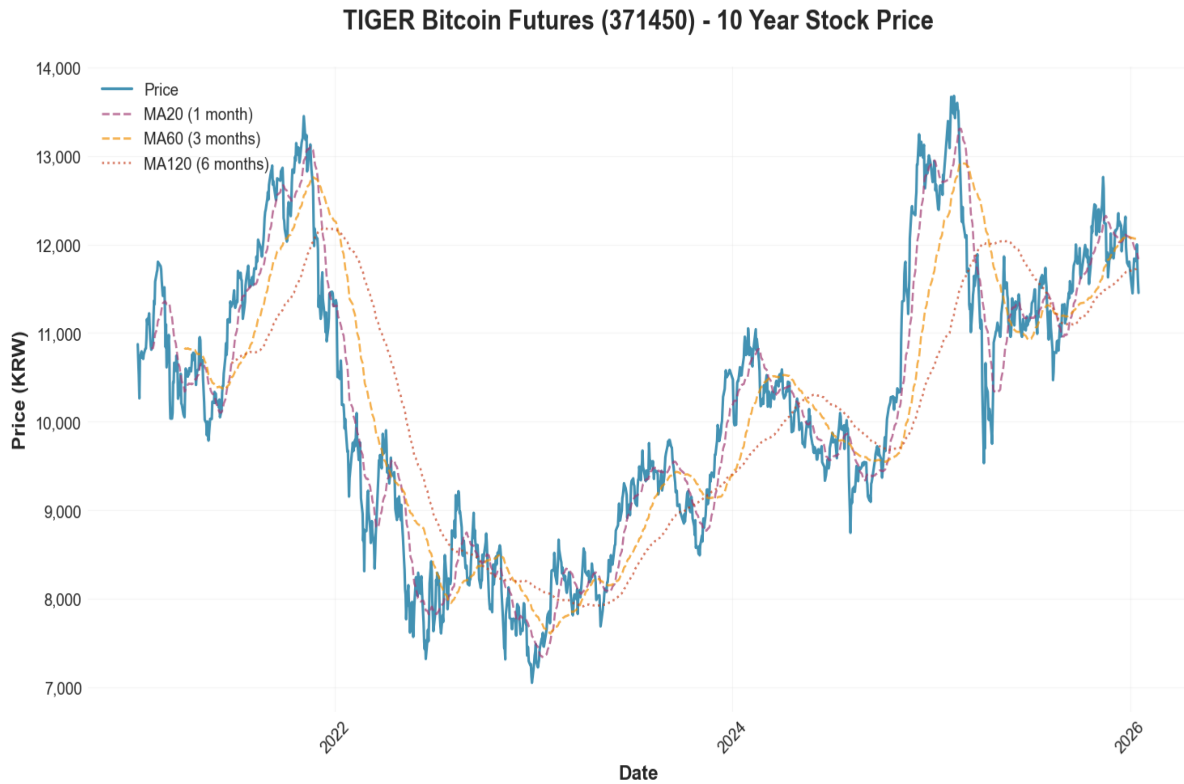
Aggressive Portfolio
AI Strategy (Confidence: Moderate): Capitalizing on Structural Secular Trends (AI/Semiconductors). Despite Neutral warnings, the algorithm identifies high Sharpe Ratio potential in the Semi-cycle.

Logic: 'Winner-takes-all' market phase. Concentration in leading AI names (NVIDIA/Hynix value chain).
Tactical Allocations:
1. Pension: Aggressive Nasdaq/FANG+ overweighting for tax-deferred compounding.
2. ISA: Pure-play Semiconductor ETFs to capture the super-cycle beta.

Core Tech Holding Analysis: Samsung Electronics



Alternative Asset: Bitcoin Futures (TIGER)



3. Meridian Stream Performance (S1~S4)

Real-time performance tracking of distinct algorithmic trading streams.

Insufficient stream data for detailed comparison.

4. Factor Insights & Risk Management

Predictive analytics, gap analysis, and real-time Value-at-Risk (VaR) tracking.

Risk Engine Status: Healthy
The real-time 99% VaR is calculated at 0.00%, well within the internal limit of 1.50%. The Maximum Drawdown currently sits at 0.00%, which is classified as Controlled. On the predictive front, the Machine Learning models display a Directional Accuracy of 0.0% with an Information Coefficient of 0.000, validating the statistical edge of the Alpha Factory.

Macroeconomic Risk Matrix

System Risk & Accuracy Metrics

Metric	Value	Limit/Target
Real-time VaR (99%)	0.00%	≤ 1.50%
Maximum Drawdown	0.00%	≤ 8.00%
Directional Accuracy (DA)	0.0%	≥ 52.0%
Information Coefficient (IC)	0.000	> 0.02

5. Trade Execution & Portfolio Log

Snapshot of current shadow portfolio holdings and recent transactions.

Portfolio Holdings Analysis:
Currently, the portfolio is fully liquidated to Cash. This defensive posturing protects capital during high-uncertainty periods.